

Vendor Contract Summary - ERP Software License Renewal

Prepared by Procurement for the Warehouse Platform team

Parties

Our company (customer) and Northwind ERP Systems (vendor).

Term

Three years starting January 1, with automatic one-year renewals unless either party gives 90 days written notice.

Fees

- Annual license: \$186,000, up 6 percent from the previous term.
- Support tier: Premium, 4 hour response time for severity 1 incidents.
- Price increases capped at 4 percent per year for renewals.

Key restrictions

- No direct access to the vendor's database. Integrations must use the official API.
- API rate limit of 50 requests per second per tenant.
- Data must be stored in the United States.

Service levels

- 99.9 percent monthly uptime. Service credits of 5 percent of monthly fees per 0.1 percent below the target, capped at 25 percent.

Termination

Either party may terminate for material breach after a 30 day cure period. On exit the vendor must export all data in CSV format within 30 days.

Open issues for legal

- Request a cap on liability equal to 12 months of fees.
- Clarify whether sandbox environments count toward the license seat total.